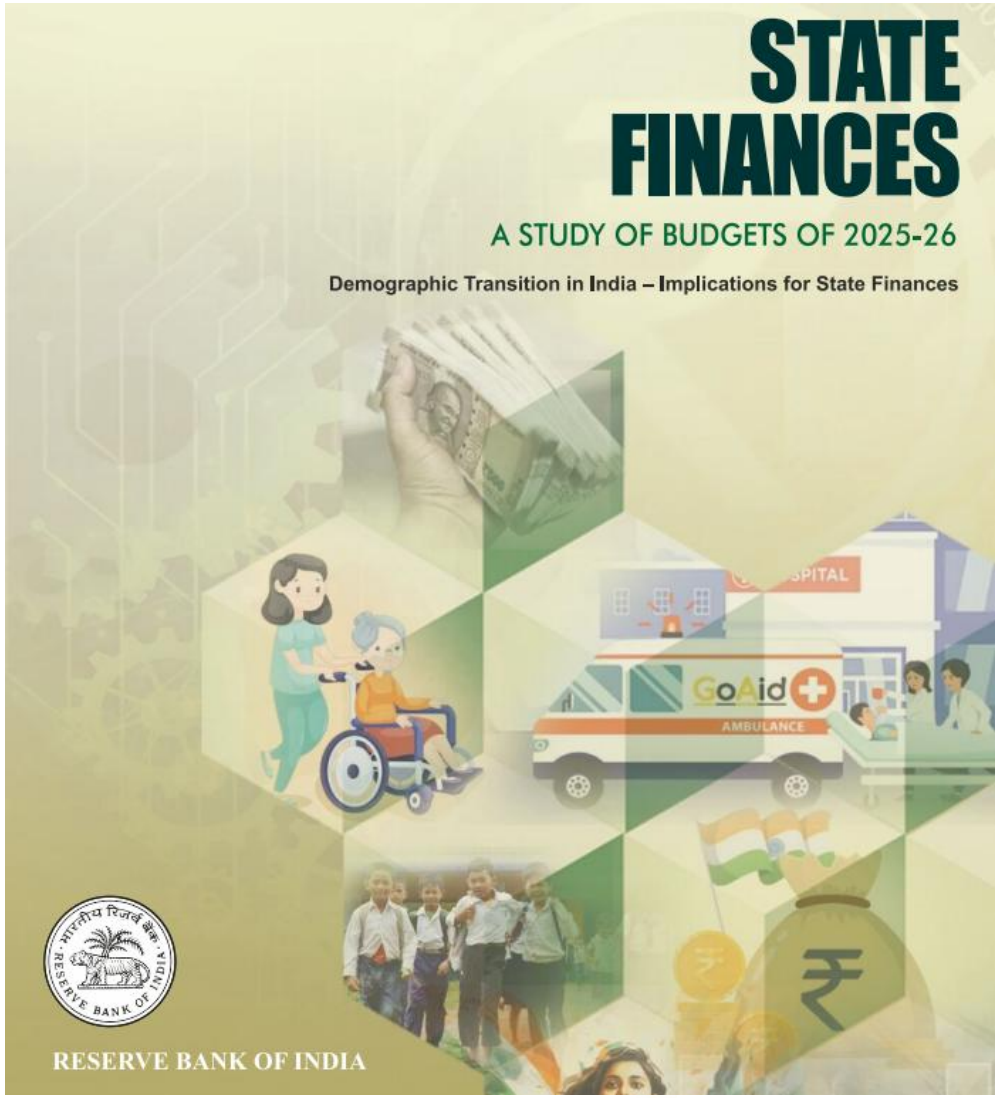
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State Finances: A Study of Budgets of 2025-26

The Reserve Bank of India (RBI) released the Report '**State Finances: A Study of Budgets of 2025-26**'. The theme of this year's Report is '**Demographic Transition in India - Implications for State Finances**'.

It provides a **comprehensive assessment of the finances of State governments for 2025-26** against the backdrop of actual and revised/provisional accounts for 2023-24 and 2024-25, respectively.

Highlights

States' consolidated gross fiscal deficit increased to 3.3% of GDP in 2024-25, after remaining below 3.0% during the previous three years.

2.4 Since 2023-24, the GFD-GDP ratio has moved upwards reaching 3.3 per cent in 2024-25 (Chart II.1). The rise in fiscal deficit in 2024-25 was driven primarily by lower revenue receipts largely attributed to lower grants from the Centre. Notwithstanding, the consolidated GFD-GDP ratio continued to remain within the Centre's prescribed ceiling of 3.5 per cent (including 0.5 per cent linked to power sector reform). Sustained higher capital expenditure strengthens the quality of fiscal adjustment and augurs well for medium-term growth.

(₹ Lakh crore)

Item	2020-21	2021-22	2022-23	2023-24	2024-25 (RE)	2024-25 (PA)	2025-26 (BE)
1	2	3	4	5	6	7	8
Aggregate Expenditure (1+2 or 3+4+5)	34.2 (17.2)	39.0 (16.5)	43.9 (16.3)	48.3 (16.0)	57.7 (17.4)	52.8 (16.0)	63.6 (17.8)
1. Revenue Expenditure *of which:*	29.6 (14.9)	33.3 (14.1)	37.2 (13.8)	40.2 (13.4)	47.7 (14.4)	43.9 (13.3)	52.1 (14.6)
Interest Payments	3.9 (1.9)	4.3 (1.8)	4.6 (1.7)	5.1 (1.7)	5.6 (1.7)	5.1 (1.5)	6.2 (1.8)
2. Capital Expenditure *of which:*	4.6 (2.3)	5.7 (2.4)	6.7 (2.5)	8.1 (2.7)	9.9 (3.0)	8.9 (2.7)	11.4 (3.2)
Capital Outlay	4.1 (2.1)	5.3 (2.3)	6.0 (2.2)	7.5 (2.5)	9.1 (2.7)	8.1 (2.4)	10.6 (3.0)

Highlights

States' consolidated gross fiscal deficit increased to 3.3% of GDP in 2024-25, after remaining below 3.0% during the previous three years. The **deficit exceeding 3% mainly reflects 50-year interest free loans from the Centre under Special Assistance to States for Capital Investment,** which is over and above the normal net borrowing ceiling of the States. States' quality of expenditure improved with higher capital outlay and social sector expenditure.

Finance Minister Nirmala Sitharaman has provided an allocation of ₹1.5 lakh crore for the Centre's 'special assistance for capital investment' scheme for states in the Budget for 2024-25.

The Centre's Special Assistance to States for Capital Investment scheme provides 50-year interest-free loans to state governments to boost capital expenditure.

Capital investment projects in diverse sectors have been approved under the scheme including health, education, irrigation, water supply, power, roads, bridges and railways.

In 2025-26, States have budgeted a gross fiscal deficit of 3.3% of GDP. The thrust on capital expenditure was sustained as capital expenditure remained steady at 2.7% of GDP in 2023-24 and 2024-25 and is budgeted at **3.2% of GDP in 2025-26.**

Highlights

The **consolidated outstanding liabilities** of States declined to **28.1 per cent of GDP** at end March 2024, from a peak of 31 per cent at end-March 2021. The improvement reflects both **fiscal consolidation efforts**, and **favourable debt dynamics**.

The outstanding liabilities are budgeted to increase to **29.2 per cent of GDP by end-March 2026.** Notwithstanding elevated debt levels, indicators of **debt sustainability remain favourable.**

2. Demographic Transition in India

3.3 India is currently the most populous country in the world having surpassed China in 2023. As of mid-2025, its population is estimated at 1.46 billion, a figure expected to reach 1.5 billion by 2036, peak around 1.7 billion in the early 2060s and then begin a gradual decline, though remaining the most populous country throughout the century (UN, 2024). Further, median age of the Indian population was just around 28 years in 2022 as compared to above 40 years in developed countries such as the US, Europe, and South Korea[1], making it one of the 'youngest large nations' in the world. The share of the working-age (15-64 years) population in India which was estimated at 64 per cent in 2021 (UNFPA, 2022), is projected to peak around 65.1 per cent in 2031, before stabilising by 2036 (Chart III.1a). The high share of working age population provides a window of opportunity towards faster economic growth by reaping the benefits of a demographic dividend[2].

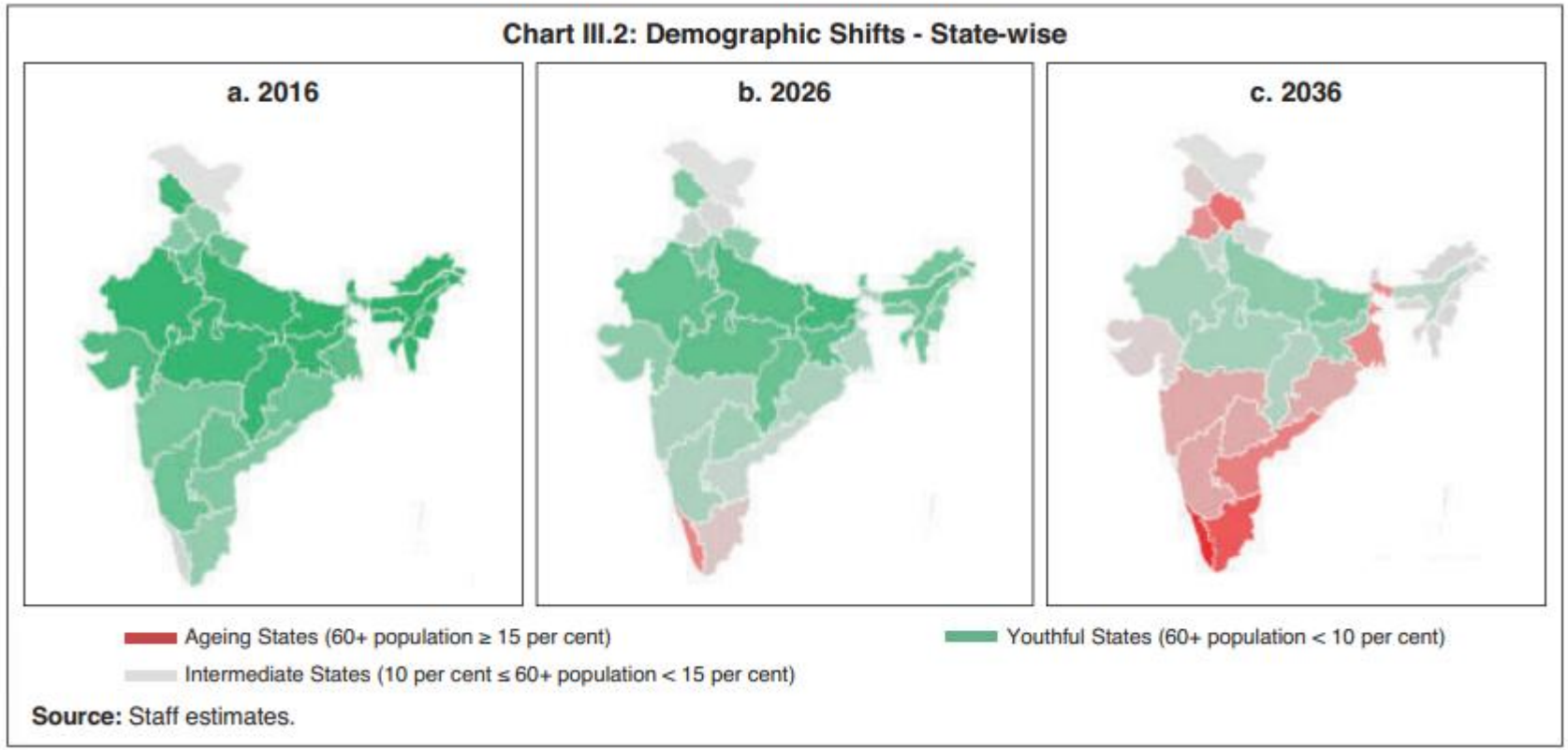
Highlights

The term demographic dividend here refers to the economic growth potential during a period when the working-age population surpasses the dependent population.

1.2 The national-level indicators conceal large inter-State divergences in demographic parameters. The timing and pace of demographic transition vary significantly across the States. For instance, the median age varies from around 23 years in Bihar to around 37 years in Kerala.

Highlights

Indian States are at different stages of demographic transition, which increasingly shape their finances.



By 2026, Kerala and Tamil Nadu are expected to enter the ageing category, with more than 15% of their population above 60 years of age. Most of the remaining States will be in the intermediate category and a few States under the youthful category during this period. By 2036, however, more than half of the States will be ageing and the rest will fall under the intermediate category with no States remaining in the youthful category.

Highlights

Indian States are at different stages of demographic transition, which increasingly shape their finances. Youthful States have a wider **window of opportunity due to an expanding working-age population** and **stronger revenue mobilisation, which can be harnessed through higher investment in human capital**.

In contrast, ageing States face a narrowing window, with fiscal **pressures arising from shrinking tax bases and rising committed expenditure,** calling for higher revenue capacity and reforms in healthcare, pensions and workforce policies.

Intermediate States need to balance growth priorities with early preparation for ageing.

This publication has been prepared in the Division of State Finances in the Department of Economic and Policy Research. The current issue, along with past issues of the Report, are available on the Reserve Bank's website.

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Q1. The Reserve Bank of India's report *State Finances: A Study of Budgets of 2025-26* is distinguished from previous editions primarily because it analyses State finances through the lens of which of the following overarching themes?

(a) Fiscal Consolidation and Quality of Expenditure of Indian States
(b) Debt Sustainability and Off-Budget Borrowings of State Governments
(c) Demographic Transition in India – Implications for State Finances
(d) Intergovernmental Fiscal Transfers and Cooperative Federalism
(e) Capital Expenditure Push and Growth Multipliers in States

Answer: ?

Q.2) According to the RBI's "State Finances: A Study of Budgets of 2025-26", which of the following statements about India's State finances and demographic transition is correct?

A) States' consolidated gross fiscal deficit exceeded 3% of GDP in 2024-25 primarily due to rising revenue expenditure on subsidies and salaries.
B) Capital expenditure as a percentage of GDP declined from 2.7% in 2024-25 to 2.5% in 2025-26, indicating reduced focus on infrastructure.
C) States' consolidated outstanding liabilities are projected at 29.2% of GDP by end-March 2026.
D) Ageing States benefit from a larger window for growth due to expanding working-age populations.
E) Youthful States face fiscal stress due to shrinking tax bases and rising committed expenditure.

Answer: ?

Thank You

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